

a Stimulation game (M02)

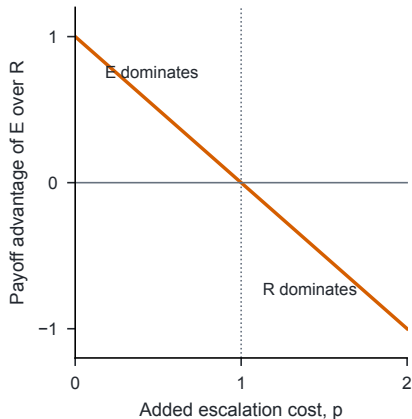
		Producer 2	
		R	E
Producer 1	R	(3, 3)	(1, 4)
	E	(4, 1)	(2, 2)

E, E: unique equilibrium

R = restraint; E = escalation

Assumed private utility, not measured welfare

b Changing incentives



c Coordination (M03)

